IT OPERATIONS

Strategic IT & Telecom Consolidation

1.0 Executive Summary

[Client Company Name] faced significant operational friction and financial waste due to decentralized IT and telecom management. A lack of formal governance resulted in redundant software licensing, poorly optimized mobile fleet plans, and fragmented communication workflows. This "tech bloat" created an administrative burden and an estimated annual overspend exceeding **$55,000**.

This case study details a strategic initiative designed to address these challenges head-on. By applying a structured, data-driven methodology, we successfully consolidated software, optimized telecom contracts, and established a robust governance framework. The project not only achieved **$56,600 in annualized savings** but also reclaimed over **180 administrative hours** and significantly improved operational efficiency and security posture.

2.0 Problem Statement & KPIs

Initial Situation Analysis

- ✗ Decentralized procurement with no oversight.
- ✗ Multiple communication platforms causing user confusion.
- ✗ No process for decommissioning legacy systems.
- ✗ Reactive, manual management of telecom plans.

Project Goals & Target KPIs

- ✓ Reduce annual IT/telecom spend by at least 5%.
- ✓ Establish a formal IT Governance Policy (SOP).
- ✓ Implement a yearly software performance review process.

3.0 Project Methodology: A Lean Six Sigma Approach

To ensure a structured, repeatable, and data-driven outcome, the project followed the DMAIC (Define, Measure, Analyze, Improve, Control) framework, a cornerstone of Lean Six Sigma for process improvement.

D

Define: Chartering the Project (Week 1)

Formalized the project's purpose and scope. A Project Charter and high-level Statement of Work (SOW) were created, outlining objectives, stakeholders, and the KPIs listed above.

M

Measure: Baselining Performance (Weeks 1-2)

Established a quantitative baseline by collecting 12 months of invoices, license agreements, and telecom usage data. Conducted stakeholder interviews to gather qualitative data on workflow pain points.

A

Analyze: Root Cause Analysis (Weeks 3-4)

Utilized the "5 Whys" technique to drill down past surface-level symptoms. The analysis confirmed that a lack of **IT governance** and **proactive vendor management** were the core issues driving excess costs.

Problem Area 1: Redundant Software

Problem: Annual software spend is **$36,600** higher than necessary.

↳ **1. Why?** Paying for active licenses for Skype and RingCentral.

↳ **2. Why?** Staff used them alongside official Teams and Zoom platforms.

↳ **3. Why?** No official standard or decommissioning plan existed for old software.

↳ **4. Why?** Past IT rollouts focused only on implementation, not on user transition or retirement of old systems.

↳ **5. Why? [ROOT CAUSE]** Lack of a formal **IT governance policy.**

Problem Area 2: High Mobile Costs

Problem: Wasting **$20,000** annually in overages & admin time.

↳ **1. Why?** Data plans were oversized and managed manually after issues arose.

↳ **2. Why?** The plan was never reviewed against actual usage data.

↳ **3. Why?** There was no single point of contact for vendor management.

↳ **4. Why?** Telecom was viewed as a low-level administrative task, not a strategic cost center.

↳ **5. Why? [ROOT CAUSE]** Lack of a proactive **vendor & asset management strategy.**

I

Improve: Implementation & Optimization (Weeks 5-7)

Executed the consolidation plan: renegotiated carrier contracts, decommissioned redundant software (Skype, RingCentral), and standardized on the Microsoft Teams & Zoom ecosystem. A clear communication plan ensured a smooth transition for all employees.

C

Control: Sustaining the Gains (Week 8)

To prevent regression and ensure long-term value, two key documents were created: a formal **IT Governance Standard Operating Procedure (SOP)** and a **Vendor & Asset Management Playbook**. The SOP included a new policy mandating that any IT project affecting over 25% of staff must include a formal change management plan, ensuring smooth user transitions and successful adoption before legacy systems are retired.

4.0 Results: Quantifiable Impact & Strategic Value

This initiative transcended simple cost-cutting. By addressing foundational process failures, we delivered measurable financial returns, enhanced operational capabilities, and provided a sustainable framework for future growth and technological adoption.

$56,600
Total Annualized Savings
(18% Reduction)

180+
Admin Hours Reclaimed Annually
(30% Efficiency Gain)

2
New Governance Policies
(SOP & Playbook)

Project Outcome Analysis

Financial & Operational Impact

- **Software Cost Reduction: $36,600.** Eliminated redundant platforms (Skype: $21.6k, RingCentral: $15k) by standardizing on a unified communications stack.
- **Telecom Cost Reduction: $20,000.** Right-sized mobile data plans based on a 12-month usage analysis, eliminating overage charges and waste.
- **Vendor Management Optimization:** Secured a dedicated account manager from the primary telecom carrier to handle all mobile device support, offloading this administrative burden and providing a single point of contact for escalations.

Lasting Strategic Value

- **Improved Collaboration:** A single, unified communication platform (Microsoft Teams & Zoom) reduced friction and improved workflow efficiency across departments.
- **Enhanced Security:** Decommissioning unmanaged legacy software reduced the company's security attack surface.
- **Scalable Framework:** The new governance SOPs provide a clear, sustainable framework for all future technology evaluation, procurement, and lifecycle management, ensuring these savings persist.